

volatility and slowly ease into a big position over a series of days, weeks, or months.

As these assets mature and their volatility decreases, recall that this can help boost the Sharpe ratio. Recall that since the Sharpe ratio is absolute returns¹³ divided by volatility, if volatility comes down, then the returns don't have to be as stupendously good for the Sharpe ratio to still be a standout.

MARKETPLACE BEHAVIOR: CORRELATIONS

As an asset class is first emerging, it will be uncorrelated with the broader capital markets because there is not much overlap between the early adopters of that asset and the broader capital market investors. This is exactly what we saw with bitcoin when it was first invented and was only known to a small core group of developers and adopters (see [Figure 9.10](#)).